General Assembly

Raised Bill No. 5209

February Session, 2026

LCO No. **1577**

Referred to Committee on BANKING

Introduced by:
(BA)

AN ACT ESTABLISHING VARIOUS REQUIREMENTS REGARDING SHARED APPRECIATION AGREEMENTS.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

Section 1. Subsection (a) of section 36a-498i of the 2026 supplement to the general statutes is repealed and the following is substituted in lieu thereof (*Effective October 1, 2026*):

(a) As used in this section <u>and section 2 of this act</u>, "mortgage lender" and "shared appreciation agreement" have the same meanings as provided in section 36a-485.

Sec. 2. (NEW) (*Effective October 1, 2026*) (a) (1) The interest charged pursuant to a shared appreciation agreement shall be (A) simple interest, and (B) calculated on the basis of the lump sum payment paid by the borrower to the lender at the time when the loan matures.

(2) Notwithstanding the provisions of section 37-9 of the general statutes, each shared appreciation agreement shall be subject to the provisions of sections 37-1 and 37-4 of the general statutes.

(b) A shared appreciation agreement shall not:

(1) Contain any provision that requires the borrower to occupy the property that is the subject of the shared appreciation agreement or otherwise prevents the borrower from using such property as the borrower chooses;

(2) Contain any provision that prevents the borrower from refinancing a mortgage or lien or obtaining a subordinate mortgage or lien against the property that is the subject of the shared appreciation agreement;

(3) Require the borrower to pay more than half of any cost actually paid to any third party associated with the origination, servicing or satisfaction of the shared appreciation agreement;

(4) Require the borrower to pay any fee or cost to any mortgage servicer or the lender after origination, except for any bona fide charge paid to a third party;

(5) Include a prepayment penalty or otherwise require payment of any additional sum to satisfy or otherwise terminate the shared appreciation agreement at any point before its scheduled maturity date or termination date;

(6) Contain any provision restricting or waiving the substantive or procedural rights or remedies available to the borrower at law or in equity;

(7) Charge the borrower for any attorney's fees or legal costs incurred by the lender arising from any dispute, claim or legal proceeding related to the loan, regardless of the outcome of such dispute, claim or proceeding;

(8) Include a confidentiality provision regarding the terms of the shared appreciation agreement or any dispute related to the shared appreciation agreement; or

(9) Contain a provision allowing the lender to alter any term of the shared appreciation agreement without the express written consent of the borrower.

(c) The terms of a shared appreciation agreement shall contain:

(1) A provision requiring the lender to provide to the borrower at least ninety days' advance written advance notice of any action required of the borrower under the terms of the shared appreciation agreement, which, if not timely taken by the borrower, will affect the rights or interests of the borrower under such agreement;

(2) A provision requiring the lender to provide to the borrower, not later than three business days after the lender receives a request from the borrower for the same and at no cost to the borrower, a payoff quote that itemizes everything for which the borrower is liable to pay to the lender;

(3) A provision requiring the lender to provide to the borrower, not later than three business days after the lender receives a request from the borrower for the same, a written description of the process for terminating the shared appreciation agreement;

(4) A provision specifying that the borrower shall receive credit for all improvements made to the property that is the subject of the shared appreciation agreement in an amount equal to the total amount paid for all such improvements or any increase in the appraised value of such property resulting from such improvements, whichever is greater;

(5) A provision stating that the value of any adjustments for lack of maintenance or for improvements shall be determined by a property appraisal conducted by a certified or licensed appraiser in accordance with the Uniform Standards of Professional Appraisal Practice issued by the Appraisal Standards Board of the Appraisal Foundation pursuant to Title XI of FIRREA, as amended from time to time;

(6) A provision stating that any property valuation required by the shared appreciation agreement, including, but not limited to, any such valuation performed at or before origination or at the conclusion of such agreement, shall be performed by a licensed or certified appraiser in accordance with the Uniform Standards of Professional Appraisal Practice issued by the Appraisal Standards Board of the Appraisal Foundation pursuant to Title XI of FIRREA, as amended from time to time. The appraiser shall not be affiliated with the lender. The valuation may not be discounted or otherwise adjusted from the actual appraised value;

(7) A right to cancel the shared appreciation agreement for three business days after consummation or the delivery of all disclosures required pursuant to section 36a-498i of the general statutes, as amended by this act, whichever is later;

(8) A provision specifying that:

(A) If the borrower is unable to repay the loan in full at maturity without selling the property that is the subject of the shared appreciation agreement, the lender agrees to refinance the remaining balance due with a fully amortizing, thirty-year, closed-end mortgage with a fixed interest rate at the current market interest rate, using the current version of the Fannie Mae-Freddie Mac uniform instruments; and

(B) If such refinancing is not completed by the maturity date through no fault of the borrower, the lender agrees not to pursue foreclosure or require sale of such property until the refinancing transaction is completed, and only thereafter upon default on the refinanced loan; and

(9) A provision requiring that, if the borrower is successful in an action disputing a provision of the shared appreciation agreement, the lender shall be responsible for any reasonable attorney's fees and legal costs incurred by the borrower in connection with such action.

(d) A mortgage, deed of trust or equivalent consensual security interest in the borrower's principal dwelling that secures any obligation under a shared appreciation agreement shall state the maximum amount, in dollars, that the borrower may be required to pay pursuant to the agreement.

(e) (1) A lender shall not consummate a shared appreciation agreement unless the lender receives documentation disclosing that:

(A) The borrower has obtained homeownership counseling from (i) a counseling organization or counselor certified or approved by the United States Department of Housing and Urban Development to provide reverse mortgage or home equity conversion mortgage counseling, or (ii) any other person authorized by the Department of Banking;

(B) The borrower has received counseling on the cost, affordability and risks of the loan; and

(C) The counseling organization, counselor or authorized person had received by the time of the counseling session:

(i) A copy of the shared appreciation agreement; and

(ii) A cost disclosure form comparable to the loan estimate or final disclosure described by the Real Estate Settlement Procedures Act of 1974, 12 USC 2601 et seq., as amended from time to time, and the Truth-in-Lending Act, 15 USC Section 1601 et seq., as amended from time to time, and the regulations promulgated under said acts.

(2) The counseling organization, counselor or authorized person shall not be liable for determining the accuracy or completeness of any documents provided pursuant to subdivision (1) of this subsection.

(f) At the time of consummation of a shared appreciation agreement, the lender shall provide the borrower with contemporaneous access to a representative of the lender who is able to answer any questions the borrower may have about the transaction.

This act shall take effect as follows and shall amend the following sections:		
Section 1	*October 1, 2026*	36a-498i(a)
Sec. 2	*October 1, 2026*	New section

Statement of Purpose:

To establish various requirements regarding shared appreciation agreements.

[Proposed deletions are enclosed in brackets. Proposed additions are indicated by underline, except that when the entire text of a bill or resolution or a section of a bill or resolution is new, it is not underlined.]